

On August 10, at Cipla's 87th annual general meeting, Hamied spoke of the Covid-19 pandemic's challenges, the transition of pharmaceuticals, Cipla's history of innovation, its purpose of caring, and even climate change issues. Everything apart from whether the Hamieds would sell their stake in Cipla or to whom. The company is mum on the subject, but people close to the family have said the generation after Samina Hamied, Yusuf Hamied's niece, is not interested in running it. Samina, a post-graduate in international accounting and finance from the London School of Economics & Political Science, has driven Cipla's growth after joining as Executive Vice Chairperson in 2016.

52 | Blackstone's bid hit the news on July 27. Blackstone, headquartered in New York, has \$40 billion in capital to invest and \$137 billion as AUM or assets under management in just corporate PE. The talk was that Blackstone was planning to submit a non-binding bid to acquire the entire 33.47 per cent promoter stake.

Torrent Pharma, the 8th largest pharma company in India, is talking to financial institutions to secure funding for an all-cash bid.

Another US-based PE titan, Bain Capital, was talking to Dr. Reddy's Laboratories, the second-largest pharma major by sales, about joining hands to acquire Cipla.

Hamied chose not to address the rumours directly. Cipla refused to comment on the developments.

RIGHT PILL AT THE RIGHT TIME

Founder K.A. Hamied chose to do his doctorate in chemistry in Germany when it was the world

A Lucrative Proposition



Cipla's promoters are reportedly considering giving the company to an ambitious leader



They are in talks with Torrent Pharma that has been in touch with multiple lenders to secure financing



PE firm Blackstone is also interested, while Bain Capital is in talks to bid with Dr. Reddy's



Recently, BPEA EQT and General Atlantic expressed interest in buying a majority stake



Cipla is an attractive investment due to its market position, therapeutic range and strong results



It dominates branded prescription formulations, trade generics, and consumer healthcare



“The US business accounted for 29 per cent of Cipla's overall revenue in the first quarter of 2023-24... Right now, we are feeling quite comfortable with the \$200-210 million trajectory”

UMANG VOHRA
CEO, CIPLA,
DURING AN INVESTOR
CALL ON JULY 26